AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ACT111

Financial Accounting

Final Examination – Version B
Fall Semester 2025-2026

13 – January – 2026

Number of Exam Pages: 4 (including this cover sheet)	**Time Allowed: 2 Hours**

Instructions:

ke **FIVE (5)** minutes to read all instructions carefully before attempting to write.
bile phones must be in "SWITCHED **OFF**" mode throughout the examination.
s is a **CLOSED** book examination. NO documents of any kind are allowed.
MUST answer the questions using only the answer booklets provided.
MUST return the examination paper together with your answer booklets.
NOT write your answers in pencil except graphs/sketches.
lents are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
ents are allowed to use ***non-programmable*** calculators only (if needed).
form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (40 Marks)

The adjusted trial balance of Roland Repairs on December 31 follows.

ROLAND REPAIRS
Adjusted Trial Balance
December 31

Account Title	Debit	Credit
Cash	$ 27,000	
Office supplies	1,100	
Prepaid insurance	2,600	
Equipment	30,000	
Accumulated depreciation—Equipment		$ 5,600
Land	10,000	
Accounts payable		9,000
Wages payable		2,200
Notes payable –Due in April 2024		14,700
Roland, Capital		24,000
Roland, Withdrawals	20,000	
Services revenue		129,700
Depreciation expense—Equipment	5,600	
Wages expense	59,000	
Insurance expense	1,500	
Rent expense	18,500	
Office supplies expense	5,200	
Utilities expense	4,700	
Totals	$ 185,200	$ 185,200

Note: Roland, Capital account balance was $24,000 on December 31 of the *prior year*, and there were no owner investments during the year.

Required:

1) Prepare the December 31,2022 closing entries **(25 marks)**

2) Prepare the December 31, 2022 post-closing trial balance **(11 marks)**.

3) Calculate the current ratio and assess the company's ability to pay its debts **(4 marks)**

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Question 2 (30 Marks)

Based on the unadjusted trial balance for Jordan Company on December 31, 2022, Total revenues were $89,500 and total expenses were $62,500.

Additional information:

a. On January 1, 2022, the company purchased equipment for $76,000 cash. The equipment has an estimated useful life of 8 years and expects to sell the equipment at the end of its life for $4,000 cash.
b. The Prepaid Insurance account had a $7,000 debit balance on December 31 before adjusting for the costs of any expired coverage. An analysis of the company's insurance policies showed that $450 of unexpired insurance coverage remains.
c. The Supplies account had a $350 debit balance at the beginning of the year, and $2,750 of supplies were purchased during the year. The December 31 physical count showed $300 of supplies available.
d. One-third of the work related to $18,000 of cash received in advance was performed during this period.
e. As of December 31, 2022, $2,350 of interest expense has accrued on a note payable. The full interest payment of $6,750 on the note is due on May 20, 2023.
f. On Dec. 12, 2022, a customer agreed to pay $3,000 on Jan. 10, 2023, of the next year for future services over the next 30 days.

Required:

1) Use the above information to prepare the adjusting entries for the year ended December 31, 2022 **(23 Marks)**

2) Calculate the Adjusted Expenses for Jordan company for the year ended December 31, 2022 **(7 Marks)**.

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Question 3 (30 Marks)

A- Blocks Retailing (buyer) and Speed Wholesalers (seller) enter into the following transactions. Both buyer and seller use a *periodic inventory system*.

May 11 Speed accepts delivery of $37,000 of merchandise it sells to Blocks: invoice dated May 11, terms 2/10, n/60, FOB shipping point. The goods cost Speed $22,800. Blocks pays $550 cash to Express Shipping for delivery charges on the merchandise.

May 12 Blocks returns $2,300 of the $37,000 of goods to Speed, who receives them the same day and restores them to its inventory. The returned goods had cost Speed $1,417.

May 20 Blocks pays Speed for the amount owed. Speed receives the cash immediately.

Required: Prepare journal entries that Blocks Retailing records for these transactions **(15 marks)**.

B- Fitness Pros reports the following accounts for the year ended December 31.

Gain on sale of equipment	$ 3,140	Sales discounts	5,550
Beginning inventory	5,500	Sales returns and allowances	3,000
Purchases	35,000	Interest revenue	400
Sales	82,000	Selling expenses	25,900
Purchases discounts	1,200	General & administrative expenses	19,000
Ending inventory	3,000	Rent revenue	600

Required: Prepare gross profit section only in income statement and calculate gross profit (margin) ratio. *Show all calculations.* **(15 marks)**

[END OF EXAM]

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